Balance Sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	52,000	
			Less: Additional bad debts	2,000	
				50,000	
			Less: Provision for bad and doubtful debts	2,500	47,500

Illustration 7

Abstracts from the trial balance as on 31st December, 2016:

Particulars	Debit ₹	Credit ₹
Sundry debtors	1,04,000	
Bad debts	5,000	
Provision for bad and doubtful debts		2,000

Adjustments:

(i) Additional bad debts amounted to ₹4,000.

(ii) Create a provision for bad and doubtful debts @ 5% on sundry debtors.

Pass necessary adjusting entries and show how the different items appear in final accounts.

Solution

Working note:

Particulars	Debit ₹
Sundry debtors	1,04,000
Less: Additional bad debts	4,000
	1,00,000

Provision for bad and doubtful debts = ₹1,00,000 x 5/100 = ₹5,000

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016 Dec. 31	Bad debts A/c	Dr.		4,000	
	To Sundry debtors A/c				4,000
	(Bad debts written off)				
Dec. 31	Provision for bad and doubtful debts A/c	Dr.		9,000	
	To Bad debts A/c				9,000
	(Bad debts transferred to provision for bad and doubtful debts account (5000 + 4000))				
Dec. 31	Profit and Loss A/c	Dr.		12,000	
	To Provision for bad and doubtful debts A/c				12,000
	(Provision for bad and doubtful debts created) (9,000 + 5,000 - 2,000 = 12,000)				

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